A synopsis of UK Chancellor Rachel Reeves' Spring Statement today (3rd March 2026), with a focus on employability, skills and youth unemployment:

Labour Market Overview & Unemployment

The Office for Budget Responsibility (OBR) updated its forecast, showing UK unemployment is expected to rise, peaking around 5.3 % in 2026 before slowly falling later in the decade. This is higher than previous forecasts and reflects a weak jobs market, especially for young and entry-level workers

Reeves openly acknowledged that "the economy is not yet working for everyone," highlighting that young people are particularly struggling with the aftermath of past economic policy.

Youth Unemployment & Targeted Support

In her speech, Reeves stressed that her government will not "leave an entire generation of young people behind."
She cited ongoing programmes to support youth employment, including:
Reforms to apprenticeships aimed at prioritising opportunities for young people.

Continued delivery of the £820 million Youth Guarantee, which is designed to give young people employment support and a guaranteed job.

Reeves committed to setting out further reforms in the coming weeks to improve job opportunities for young people and tackle the growing NEET challenge.

Skills, Training & Longer-Term Measures

Skills funding was signalled as part of the government's broader economic strategy, with investment in further education and skills provision to help individuals adapt to the changing labour market.

Although the Spring Statement itself did not include new financial measures or tax changes, Reeves underlined that existing plans to boost infrastructure, back entrepreneurs and support skills training remain a priority as part of her wider economic plan.

Broader Picture & Limitations

Because this Spring Statement was primarily a "forecast update" rather than a full budget, there were no major new policy announcements on wages or direct

employability support today — Reeves reiterated that more significant fiscal changes would come at the Autumn Budget.

Summary

The statement acknowledged the harder jobs market — especially for young people — reiterated commitment to schemes like the Youth Guarantee and apprenticeship reforms, and promised further targeted action soon, but did not introduce new direct measures on employability or skills today.